

Tokyo Electron (8035.T)

Earnings Review: 1Q in line, but stronger outlook from 2Q brings FY3/27 operating profits of ¥1 tn into view; margin improvement progress appears ahead of expectations; reiterate Buy

8035.T

12m Price Target: ¥86,000

Price: ¥52,250

Upside: 64.6%

BUY

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FY3/27 operating profits of ¥1 tn now in sight

1Q3/27 operating profits of ¥211.4 bn, reported after the July 30 close, were in line with our estimate of ¥215.0 bn and the Bloomberg consensus of just over ¥210 bn, but the gross margin came in high at 46.8%, leaving a positive impression from a profitability perspective. 1H3/27 operating profit guidance was revised up to ¥458 bn from ¥431 bn, which is above our previous estimate and the Bloomberg consensus. Although full-year guidance has not been disclosed, management noted that it expects growth in 2H to substantially exceed that in 1H and that full-year operating profits of ¥1 tn are now in sight (the Bloomberg consensus is just under ¥950 bn). We think this outlook should comfortably satisfy the market's high expectations.

Key takeaways from the results briefing

(1) **Business environment:** Tokyo Electron (TEL) expects the WFE market to continue growing by over 20% yoy to over \$150 bn in CY26 and over \$190 bn in CY27, adding that it sees ample potential for the growth rate to expand further. With investment in advanced devices expanding, TEL aims to achieve sales growth that outpaces the WFE market (its sales expectations for equipment used in advanced packaging and etching equipment for DRAM wiring processes are higher than they were three months ago). As regards production capacity, the company has established a framework capable of meeting demand based on customer forecasts for the next two years.

(2) **Pricing strategy:** As part of its initiatives to improve profitability, management is working on optimizing pricing, and it expects to see marked benefits emerging from 4Q3/27. Regarding the target of a gross margin of 50% or higher over the next two years, the company is taking steps to achieve this level early in FY3/28.

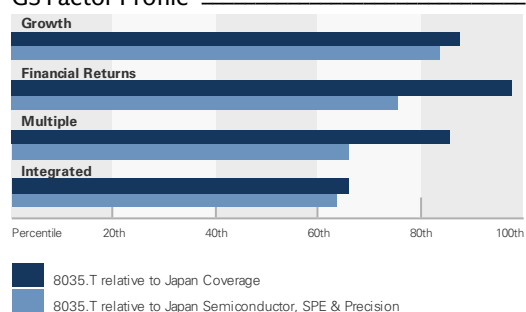
Key Data

Market cap: ¥23.9tr / \$146.1bn
Enterprise value: ¥23.5tr / \$143.5bn
3m ADTV: ¥267.6bn / \$1.7bn
Japan
Japan Semiconductor, SPE & Precision
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	2,443.5	3,402.6	4,344.3	4,917.6
Op. profit (¥ bn) New	624.9	1,022.4	1,498.1	1,786.3
Op. profit (¥ bn) Old	624.9	914.0	1,360.3	1,629.7
Op. profit CoE (¥ bn)	—	—	—	—
EPS (¥) New	1,263.0	1,765.1	2,619.6	3,173.0
EPS (¥) Old	1,263.0	1,594.9	2,404.2	2,926.6
P/E (X)	23.4	29.6	19.9	16.5
P/B (X)	6.5	10.2	8.9	7.6
CROCI (%)	27.6	41.3	49.6	52.0
	6/26	9/26E	12/26E	3/27E
EPS (¥)	355.0	444.7	421.8	543.6

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Tokyo Electron (8035.T)

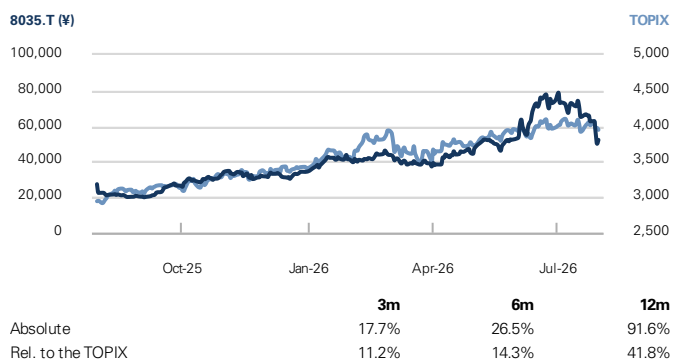
Rating since Jul 24, 2020

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	23.4	29.6	19.9	16.5
P/B (X)	6.5	10.2	8.9	7.6
FCF yield (%)	2.4	2.0	3.6	5.4
EV/EBITDAR (X)	18.4	20.7	14.2	11.6
EV/EBITDA (excl. leases) (X)	18.4	20.7	14.2	11.6
CROCI (%)	27.6	41.3	49.6	52.0
ROE (%)	29.3	36.4	47.3	49.6
Net debt/equity (%)	(24.5)	(18.3)	(14.6)	(20.4)
Net debt/equity (excl. leases) (%)	(24.5)	(18.3)	(14.6)	(20.4)
Interest cover (X)	—	—	—	—
Days inventory outst, sales	109.2	84.5	78.1	75.7
Receivable days	75.5	63.6	61.3	61.6
Days payable outstanding	32.2	30.5	31.8	33.3
DuPont ROE (%)	27.8	34.4	44.8	46.3
Turnover (X)	0.9	1.1	1.3	1.3
Leverage (X)	1.4	1.4	1.3	1.3
Gross cash invested (ex cash) (¥)	1,962.6	2,364.7	2,770.5	3,021.6
Average capital employed (¥)	1,461.4	1,729.0	2,057.2	2,302.3
BVPS (¥)	4,550.9	5,128.5	5,849.9	6,850.0

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	0.5	39.2	27.7	13.2
EBITDA growth	(7.1)	59.0	43.5	18.6
EPS growth	6.3	39.8	48.4	21.1
DPS growth	6.1	40.6	48.4	21.1
EBIT margin	25.6	30.0	34.5	36.3
EBITDA margin	28.9	33.0	37.1	38.8
Net income margin	23.5	23.5	26.8	28.2

Price Performance**Income Statement (¥ bn)**

	3/26	3/27E	3/28E	3/29E
Total revenue	2,443.5	3,402.6	4,344.3	4,917.6
Cost of goods sold	(1,335.7)	(1,794.7)	(2,181.2)	(2,406.0)
SG&A	(232.9)	(307.6)	(335.0)	(355.3)
R&D	(250.0)	(277.9)	(330.0)	(370.0)
Other operating inc./exp.)	—	—	—	—
EBITDA	705.9	1,122.4	1,610.9	1,910.3
Depreciation & amortization	(81.0)	(100.0)	(112.8)	(124.0)
EBIT	624.9	1,022.4	1,498.1	1,786.3
Net interest inc./exp.)	2.0	4.0	4.5	5.0
Income/(loss) from associates	2.7	2.0	2.0	2.0
Pre-tax profit	748.2	1,035.9	1,512.1	1,800.8
Provision for taxes	(173.7)	(237.8)	(347.3)	(413.7)
Minority interest	—	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	574.5	798.1	1,164.8	1,387.1
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	574.5	798.1	1,164.8	1,387.1
EPS (basic, pre-exception) (¥)	1,263.0	1,765.1	2,619.6	3,173.0
EPS (diluted, pre-exception) (¥)	1,263.0	1,765.1	2,619.6	3,173.0
EPS (basic, post-exception) (¥)	1,263.0	1,765.1	2,619.6	3,173.0
EPS (diluted, post-exception) (¥)	1,263.0	1,765.1	2,619.6	3,173.0
DPS (¥)	628.0	883.0	1,310.0	1,587.0
Div. payout ratio (%)	49.7	50.0	50.0	50.0

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	506.3	424.6	381.0	610.0
Accounts receivable	525.9	659.1	799.4	859.7
Inventory	713.1	862.4	995.7	1,043.4
Other current assets	90.2	90.2	90.2	90.2
Total current assets	1,835.5	2,036.3	2,266.4	2,603.2
Net PP&E	589.3	679.3	766.5	842.5
Net intangibles	37.5	37.5	37.5	37.5
Total investments	225.5	227.5	229.5	231.5
Other long-term assets	173.2	173.2	173.2	173.2
Total assets	2,861.0	3,153.8	3,473.1	3,887.9
Accounts payable	127.8	171.8	208.8	230.3
Short-term debt	—	—	—	—
Short-term lease liabilities	—	—	—	—
Other current liabilities	551.4	551.4	551.4	551.4
Total current liabilities	679.2	723.2	760.2	781.7
Long-term debt	—	—	—	—
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	111.8	111.8	111.8	111.8
Total long-term liabilities	111.8	111.8	111.8	111.8
Total liabilities	791.0	834.9	871.9	893.5
Preferred shares	—	—	—	—
Total common equity	2,070.0	2,318.8	2,601.2	2,994.5
Minority interest	—	—	—	—
Total liabilities & equity	2,861.0	3,153.8	3,473.1	3,887.9
Net debt, adjusted	(506.3)	(424.6)	(381.0)	(610.0)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	574.5	798.1	1,164.8	1,387.1
D&A add-back	81.0	100.0	112.8	124.0
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	32.4	(238.5)	(236.7)	(86.4)
Other operating cash flow	(148.1)	(2.0)	(2.0)	(2.0)
Cash flow from operations	539.7	657.6	1,038.9	1,422.7
Capital expenditures	(216.0)	(190.0)	(200.0)	(200.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	119.5	—	—	—
Cash flow from investing	(96.5)	(190.0)	(200.0)	(200.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(285.6)	(399.2)	(582.5)	(693.8)
Inc/(dec) in debt	—	—	—	—
Other financing cash flows	(147.6)	(150.0)	(300.0)	(300.0)
Cash flow from financing	(433.2)	(549.2)	(882.5)	(993.8)
Total cash flow	10.0	(81.7)	(43.5)	228.9
Free cash flow	323.7	467.6	838.9	1,222.7

Source: Company data, Goldman Sachs Research estimates.

(3) **Guidance:** Management raised 1H3/27 guidance against a backdrop of many customer requests to pull in delivery dates and purchase additional equipment. While the 1Q gross margin was higher than initial guidance, the company expects the gross margin to decline in 2Q amid increases in fixed costs such as personnel expenses and R&D, performance-linked bonuses, and the product mix, but it aims to generate upside.

(4) **Impact of the Kumamoto earthquake:** The company suspended operations on July 29 to verify the situation, and while there was some water leakage in manufacturing equipment, there was no damage to the buildings. No severe damage was incurred by suppliers and at present, the company expects to be able to fully resume operations early next week, and believes that the impact on earnings will be minimal.

Reiterate Buy on outlook for sales growth above WFE market and profit margin expansion

Factoring in 1Q results and the prospect of price revisions progressing faster than expected, we revise up our FY3/27-FY3/29 operating profit estimates by 12%/10%/10%, and raise our 12-month target price to ¥86,000 from ¥83,000. We maintain our view that market consensus for FY3/28 onward is likely to increase, with top-line growth outpacing the WFE market and progress in profitability improvement measures (including price hikes) pursued by management. We reiterate our Buy rating.

Exhibit 1: Tokyo Electron: Earnings summary

Tokyo Electron (8035.T)																			
(JPY mn)																			
Consolidated income statement																			
	3/2026	GSE 3/2027	GSE 3/2028	GSE 3/2029	CoE 3/2027	3/2026 1H	3/2026 2H	Old CoE 3/2027 1H	New CoE 3/2027 1H	3/2026 1Q	3/2026 2Q	3/2026 3Q	3/2026 4Q	3/2027 1Q	GSE 3/2027 2Q	GSE 3/2027 3Q	GSE 3/2027 4Q	CoE 3/2027 2Q	
Sales	2,443,533	3,402,600	4,344,300	4,917,600		1,179,668	1,263,865	1,570,000	1,620,000	549,586	630,082	552,047	711,818	732,388	902,000	842,000	926,212	887,612	
Operating profits	624,936	1,022,400	1,498,100	1,786,300		303,153	321,783	431,000	458,000	144,694	158,459	116,140	205,643	211,407	264,400	250,700	295,893	246,593	
Recurring profits	630,338	1,035,900	1,512,100	1,800,800		306,896	323,442	437,000	464,000	147,347	159,549	116,900	208,542	215,626	267,400	253,700	299,174	248,374	
Net income	574,454	798,100	1,164,800	1,387,100		241,626	332,828	328,000	349,000	117,801	123,825	118,538	214,290	164,341	205,900	195,300	232,559	184,659	
EBITDA	705,918	1,122,400	1,610,900	1,910,300															
Margins																			
Gross profits	45.3%	47.3%	49.8%	51.1%		45.7%	45.0%	45.5%	46.2%		46.2%	45.2%	42.7%	46.8%	46.8%	46.5%	47.0%	48.6%	45.7%
Operating profits	25.6%	30.0%	34.5%	36.3%		25.7%	25.5%	27.5%	28.3%		26.3%	25.1%	21.0%	28.9%	28.9%	29.3%	29.8%	31.9%	27.8%
Recurring profits	25.8%	30.4%	34.8%	36.6%		26.0%	25.6%	27.8%	28.6%		26.8%	25.3%	21.2%	29.0%	29.4%	29.6%	30.1%	32.3%	28.0%
Net income	23.5%	23.5%	26.8%	28.2%		20.5%	26.3%	20.9%	21.5%		21.4%	19.7%	21.5%	30.1%	22.4%	22.8%	23.2%	25.1%	20.8%
R&D	277,866	330,000	370,000	400,000	330,000														
DSA	80,982	100,000	112,800	124,000	100,000														
Capex	216,000	190,000	200,000	200,000	190,000														
EPS (JPY)	1,254.8	1,765.1	2,619.6	3,173.0															
DPS (JPY)	628.0	883.0	1,310.0	1,587.0															
BPS (JPY)	4,488.8	5,076.1	5,796.6	6,795.8															
Sales breakdown																			
New equipment	1,775,400	2,564,600	3,344,200	3,754,900		850,000	925,300	1,200,000	1,240,000	395,000	455,000	385,100	540,100	531,300	705,000	630,000	698,300	708,700	
DRAM	550,400	932,100	1,313,800	1,445,300		229,500	323,900	384,000	396,800	102,700	122,900	138,600	183,600	170,000	230,000	250,000	282,100	226,800	
NAND	177,500	296,000	430,000	505,200		102,000	74,000	132,000	136,400	39,500	63,700	30,800	43,200	58,400	75,000	80,000	82,600	78,000	
Non-memory	1,047,500	1,336,500	1,600,400	1,804,400		518,500	527,400	684,000	706,800	252,800	268,500	215,700	313,300	302,800	400,000	300,000	333,700	404,000	
Field Solution, others	668,133	838,000	1,000,100	1,162,700		329,668	338,565	370,000	380,000	154,586	175,082	166,947	171,718	201,088	197,000	212,000	227,912	178,912	
Total	2,443,533	3,402,600	4,344,300	4,917,600		1,179,668	1,263,865	1,570,000	1,620,000	549,586	630,082	552,047	711,818	732,388	902,000	842,000	926,212	887,612	
Sales breakdown (%)																			
New equipment	73%	75%	77%	76%		72%	73%	76%	77%		72%	72%	70%	76%	73%	78%	75%	75%	80%
DRAM	31%	36%	39%	38%		27%	35%	32%	32%		26%	27%	36%	34%	32%	33%	40%	40%	32%
NAND	10%	12%	13%	13%		12%	8%	11%	11%		10%	14%	8%	8%	11%	11%	13%	12%	11%
Non-memory	59%	52%	48%	48%		61%	57%	57%	57%		64%	59%	56%	58%	57%	57%	48%	48%	57%
Field Solution, others	27%	25%	23%	24%		28%	27%	24%	23%		28%	28%	30%	24%	27%	22%	25%	25%	20%
Total	100%	100%	100%	100%		100%	100%	100%	100%		100%	100%	100%	100%	100%	100%	100%	100%	100%

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Tokyo Electron

We are Buy rated on Tokyo Electron. We maintain our view that TEL is likely to outperform the WFE market due to (1) relatively high market shares for equipment used in memory applications, where investment appears firm; (2) SAM growth in front-end processes and boost from new products; and (3) sales growth potential for back-end processing equipment. TEL specializes in front-end processing equipment for semiconductor manufacturing processes, and has high market shares for key products – etchers, coater-developers, and deposition systems. We think TEL has secured upward elasticity for the next upcycle by investing heavily in R&D, capital equipment, and human resources, and we expect margins to expand further from FY3/27. We maintain our view that market consensus is likely to increase for FY3/27-FY3/28, driven by top-line growth

outpacing the WFE market and by profitability improvement measures (including price hikes) pursued by management. We reiterate our Buy rating.

Price Target Risks and Methodology - Tokyo Electron

Valuation methodology: Our 12-month target price of ¥86,000 is based on our FY3/28E EBITDA estimate and the global SPE sector average EV/EBITDA multiple of 18X, to which we then apply a sector-relative premium of 30% (implies FY3/28E P/E of 33X and P/B of 15X). We are Buy rated.

Key risks: A prolonged inventory adjustment phase in the semiconductor industry, further strengthening of export restrictions, and a depressed valuation multiple amid upward pressure on interest rates and other factors.

Disclosure Appendix

Reg AC

We, Shuhei Nakamura and Kaho Otake, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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Goldman Sachs had a non-securities services client relationship during the past 12 months with: Tokyo Electron (¥52,250)

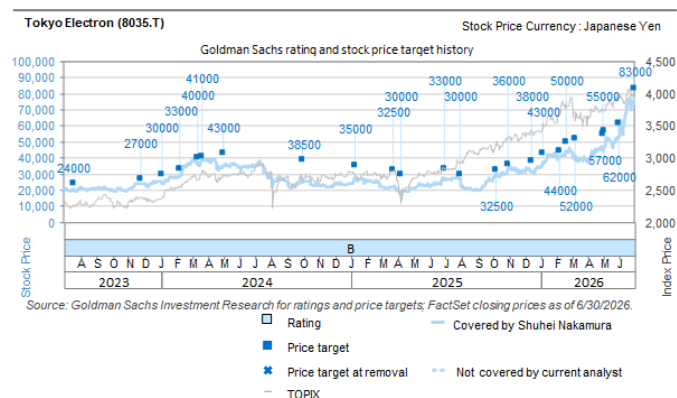
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

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Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Tokyo Electron (8035.T)

Date of report Target price (¥) Closing price (¥)

30-Jul-26	86,000	52,250
30-Jun-26	83,000	77,150
31-May-26	62,000	52,420
04-May-26	57,000	47,450
30-Apr-26	55,000	44,390
09-Mar-26	52,000	38,920
21-Feb-26	50,000	43,960
06-Feb-26	44,000	41,030
06-Jan-26	43,000	37,350
15-Dec-25	38,000	31,140
31-Oct-25	36,000	34,180
08-Oct-25	32,500	29,255
31-Jul-25	30,000	27,330
30-Jun-25	33,000	27,680
07-Apr-25	30,000	17,060
24-Mar-25	32,500	22,190
10-Jan-25	35,000	27,025
02-Oct-24	38,500	25,080
02-May-24	43,000	35,010
21-Mar-24	41,000	39,340
13-Mar-24	40,000	37,390
09-Feb-24	33,000	29,755
04-Jan-24	30,000	24,005
25-Nov-23	27,000	24,005

Price targets shown in table(s) are unadjusted for corporate actions.

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